

Service Level Agreement Cafeteria Operations and Food Quality

Supplier:	Kirby and Sons	Supplier ID:	S00016
Document Type:	Service Level Agreement	Effective Date:	January 1, 2024
McKesson Entity:	McKesson Corporation	Expiration Date:	December 31, 2026
Document Status:	Active — Fully Executed	Classification:	Confidential
Supplier HQ	Allisonland, FL		

1. PURPOSE AND SCOPE

This Service Level Agreement ("SLA") defines the performance standards that Kirby and Sons ("Supplier") must meet when delivering Facilities & Hospitality Services services to McKesson Corporation. This SLA is incorporated into and forms part of the Master Service Agreement dated January 1, 2024.

2. SLA METRICS AND THRESHOLDS

KPI Metric	Target (Green)	Warning (Amber)	Breach (Red)
Cafeteria Availability (open on time)	99%	97%	95%
Food Safety Compliance Score	98%	95%	92%
Customer Satisfaction Score	4.2/5.0	4.0/5.0	3.8/5.0

3. SLA BREACH REMEDIES

- 3.1 No financial remedy applies for performance in the Target (Green) zone.
- 3.2 First Quarter Breach: If any metric falls into the Breach (Red) zone for the first time in any quarter, a service credit of **2% discount on monthly invoice** will be applied to the following invoice.
- 3.3 Repeated Breach: If any metric falls into the Breach (Red) zone for a second consecutive quarter, a service credit of **4% discount on monthly invoice** will be applied.
- 3.4 Warning Zone: Performance in the Warning (Amber) zone triggers a formal written notice and requires a corrective action plan within 10 business days. No financial penalty applies for amber performance alone.

4. MEASUREMENT AND REPORTING

- 4.1 Kirby and Sons shall provide McKesson with a monthly SLA performance report by the 5th business day of the following month. Reports must include actual performance against each metric, root cause analysis for any amber or red performance, and a corrective action plan.
- 4.2 McKesson reserves the right to independently audit SLA performance data using its own monitoring tools. Discrepancies exceeding 2% between supplier-reported and McKesson-measured data will default to McKesson's figures.

5. TERMINATION FOR PERSISTENT SLA FAILURE

5.1 McKesson may terminate this Agreement for cause without payment of early termination fees if: **6% for two consecutive months**.

5.2 Prior to exercising termination rights, McKesson must issue a formal cure notice and allow Kirby and Sons 30 days to demonstrate improvement.

6. EXCLUSIONS AND FORCE MAJEURE

SLA credits do not apply to downtime or performance degradation caused by: (a) McKesson-initiated changes or actions, (b) third-party outages outside Supplier's reasonable control, (c) force majeure events as defined in the MSA, or (d) scheduled maintenance windows communicated at least 72 hours in advance.